Candidate's name/ Index number …….

THE UNITED REPUBLIC OF TANZANIA

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

KIBAHA PRIVATE SECONDARY SCHOOL ASSOCIATION (KIPSSA)

FORM TWO PRE- KIPSSA EXAMINATION

061 COMMERCE

Time: 2:30 Hours **2025**

Instructions

1. This paper consists of three sections A, B and C with a total of **ten (10)** questions.
2. Answer **all** questions.
3. Section A carries **fifteen (15)** marks, Section B carries **seventy (70)** marks and Section C carries **fifteen (15)** marks.
4. All answers are to be written in the spaces provided.
5. **All** writing must be in **blue** or **black** ink.
6. **All** communication devices and calculators are **not** allowed during exam.

For Assessors' Use Only		
Question Number	Scores	Assessors' Initials
1.		
2.		
3.		
4.		
5.		
6.		
7.		
8.		
9.		
10.		
Total		
Checker's Initials		

Candidate's name/ Index number …….

SECTION A (15 MARKS)

1. For each of the items (i) to (x) choose the correct answer from among the given alternatives and write its letter beside the item number in the answer table provided;

(i) The three sectors of economy are;
   A. Agriculture, trade and business
   B. Commerce, industry and direct services
   C. Industry, lumbering and hunting
   D. Agriculture, commerce and direct services

(ii) An entrepreneur is a person who
   A. Makes a lot of money.
   B. Produces goods and services in the economy.
   C. Sees an opportunity which others do not.
   D. Pay other factors of production.

(iii) Which among the following is having fixed premise for buying and selling goods?
   A. Hawkers
   B. Tied shops
   C. Peddlers
   D. Market traders

(iv) Foreign trade involves;
   A. Buying goods within the country
   B. Selling goods within the country
   C. Buying and selling of goods within the country
   D. Buying and selling of goods with other countries

(v) The process of moving goods, people and raw materials from one place to another is referred to as;
   A. Advertising
   B. Warehousing
   C. Transportation
   D. Banking

(vi) Mr. Seypalm had an opening stock of TZS 20,000 and closing stock of TZS 25000. His purchases for the year amounted to TZS 150,000 and his gross profit margin was 40 per cent on cost. His expenditure for the year was TZS 28,600. What was his net profit?
   A. TZS 58, 000.
   B. TZS 145, 000.
   C. TZS 56,000.
   D. TZS 29,400.

(vii) Bagamoyo Sugar Industry is able and willing to produce 500,000 Kilograms per annum but small-scale producers could not. What do you think is the possible reason for that?

A. No change in technology.
C. Poor technology.
B. Advanced technology.
D. Change in technology.

(viii) Suppose your fellow student asked you to identify two branches of commerce. Which alternative would you choose among the following?

A. Commerce and economics.
B. Wholesale trade and retail trade.
C. Home trade and foreign trade.
D. Aids to trade and trade.

(ix) Assume your fellow students asked you to assist them to explain, what it means when the demanded amount of a good matches with the amount of such a good offered for sale. What would your answer be?

A. there is an excess in supply.
C. there is equilibrium.
B. there is shortage in demand.
D. there is equality.

(x) The most suitable mode of transport in the areas with full of hills and valleys is;

A. Pipeline transport.
C. Rail Transport.
B. Road Transport.
D. Air Transport.

Answers

Number	i.	ii.	iii.	iv.	v.	vi.	vii.	viii.	ix.	x.
Answer										

2. Match the items in **List A** with the correct responses in **List B** by writing the letter of the correct response below the number of the corresponding item in the boxes provided.

List A	List B
(i) Are things having utility, owned and enjoyed collectively by the society. (ii) The tendency to consume such a good without any consideration. (iii) All members of the society are having equal chance to consume the goods. (iv) A person can consume extra units without reducing consumption for others. (v) Are things having utility, owned and enjoyed by an individual.	A. Non-rivalry. B. Goods. C. Capital goods. D. Private goods. E. Non-exclusive. F. Free rider. G. Public goods.

List A	(i)	(ii)	(iii)	(iv)	(v)
List B					

SECTION B (70 MARKS)

3. Write short notes on the following terms as they are used in production processes;

(a) Free-Rider Problem.

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(b) Non – Rivalry.

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(c) Non-Excludability.

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(d) Complementary Goods.

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(e) Basic Human Needs.

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4. After visiting a person who has specialized on keeping domestic animals such as cows and you observed how animal keeping operates; describe how each of the four factors of production have been fully employed.

(a)

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(b)

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(c)

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(d)

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5. In five points, show how a Broker is different from a Factor.

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(b)

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(c)

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(d)

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(e)

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6. A surgeon set up a clinic in a distant rural Centre. The business was closed after six months. Identify five possible causes for the failure.

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(b)

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(c)

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(d)

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(e)

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7. There are many people running various entrepreneurial activities in your community. But not all of them are successful. If you are given an opportunity to assess a successful entrepreneur which points, will you use? Give five points.

(a)

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(b)

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(c)

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(d)

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(e)

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8. ‘The higher the price, the lower the quantities demanded while the lower the price, the higher the quantities demanded’. In five points, show how this is possible?

(a)

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(b)

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(c)

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(d)

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(e)

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9. Capital is a man-made economic resource used in the production process. Briefly explain any **five (5)** features of this economic resource which distinguishes it from others.

(a)

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(b)

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(c)

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(d)

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(e)

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SECTION C (15 MARKS)

10. The higher the risk the higher the return. However, this does not mean that a business has to take all kinds of risks. Explain any **five (5)** ways used to avoid risks.

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